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QUESTION 5: Law Proposed by Initiative Petition

State Revenue Limit & Rebate

Do you approve of a law summarized below, on which no vote was taken by the Senate or the House of Representatives before May 6, 2026?

SUMMARY ▶
As required by law, summaries are written by the State Attorney General.

This proposed law would change the limit on how much revenue the state can collect in a given year. The proposal would limit state revenue in a given year to the net amount of state revenue from the year before, increased by a rate equal to the average growth of wages and salaries in Massachusetts over the most recent three years. If revenue collected by the state in a given year exceeds the limit, the excess amount would be refunded to taxpayers the following year. The proposed law would include all revenue from the surtax on incomes over $1 million when calculating the revenue limit and when determining whether state revenue exceeds the limit.

The provisions of the proposed law would all be effective as of July 1, 2027.

The proposed law states that, if any of its parts were declared invalid, the other parts would stay in effect.

WHAT YOUR VOTE WILL DO ▶
As required by law, the statements describing the effect of a "yes" or "no" vote are written jointly by the State Attorney General and the Secretary of the Commonwealth.

A YES VOTE would change the limit on state revenue collection, tying it to prior year collections plus average wage and salary growth, and provide for a rebate of revenue exceeding that limit.

A NO VOTE would make no change in the law relative to state revenue collection.

STATEMENT OF FISCAL CONSEQUENCES ▶
As required by law, statements of fiscal consequences are written by the Executive Office of Administration and Finance.

The proposed law would put stricter limits on allowable annual revenue growth available for budgeting. As a result, the proposal would reduce the amount of money available to support the state budget, which includes local aid for schools and municipal budgets. The proposal would also reduce the amounts available to build the state's Stabilization, or "rainy day," Fund – a reserve of money set aside to help Massachusetts manage economic downturns or emergencies without raising taxes or making major spending cuts. Depending on future conditions, the proposal could change the frequency of statutorily-required refunds to taxpayers.

ARGUMENTS ▶
As provided by law, the 150-word arguments are written by proponents and opponents of each question, and reflect their opinions. **The Commonwealth of Massachusetts does not endorse these arguments, and does not certify the truth or accuracy of any statement made in these arguments**. The names of the individuals and organizations who wrote each argument, and any written comments by others about each argument, are on file in the Office of the Secretary of the Commonwealth.

IN FAVOR:

A **YES** vote sets reasonable limits on the growth of state government revenue and ensures that taxpayers receive refunds when the Commonwealth collects more money than it needs.

This proposal modernizes the state's existing laws to create stronger fiscal guardrails, promote accountability, guard against future tax increases, and ensure government growth reflects what taxpayers can afford. It will not cut state spending for important services like education, transportation, or healthcare.

Massachusetts families are struggling with the rising cost of housing, groceries, and childcare. When government collects excess revenue, taxpayers deserve to get that money back instead of seeing it absorbed into a state budget that is growing faster than inflation.

With Massachusetts continuing to lose residents to lower-cost states, this ballot question puts taxpayers first. A **YES** vote means you keep more of your hard-earned money, and makes Massachusetts a more affordable place to live, work, and raise a family.

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ARGUMENTS ▶ (continued) ***AGAINST:***

Vote **NO on 5** to protect public schools, healthcare, and public safety.

Question 5 would put a strict limit on state revenue and investment, requiring **repeated budget cuts**. Healthcare costs would rise, and cities and towns would have to **raise property taxes or lay off teachers and firefighters**.

Question 5 would reduce the state's 'Rainy Day' fund, forcing **massive budget cuts to schools, healthcare, affordable housing, and public safety** during recessions, when spending to create jobs and support residents is needed most.

Question 5 would include revenue from the 'millionaires' tax' — which funds schools and transportation — in the complex, unpredictable algorithm that sets the revenue limit. **Millionaires would get frequent tax rebates**, while the rest of us pay the price.

Question 5 would even threaten Massachusetts' bond rating, **raising the cost of repairing bridges and schools**.

The multi-millionaires funding Question 5 don't need public services themselves. **Vote NO on 5**.

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QUESTION 5: Majority Report

Note: *The reports relating to Question 5 make several references to an "Initiative Petition for a Law Relative to Reducing the State Personal Income Tax Rate from 5% to 4%." This initiative is not one of the questions appearing on the 2026 State Election ballot.*

A majority of the Special Joint Committee on Initiative Petitions

Article 48 of the Amendments to the Constitution of the Commonwealth allows voters to propose laws or constitutional amendments through initiative petitions, commonly called ballot questions. After gathering the required signatures and submitting certified signatures to the Secretary of the Commonwealth, a petition is formally presented to the Legislature for consideration. It is then referred to a committee, in this case, the Special Joint Committee on Initiative Petitions.

Under Article 48, the committee must report to the Legislature on each petition before the first Wednesday in May. Unlike the standard legislative process, the Legislature may only approve or reject an initiative petition as submitted, without making changes.

The Committee held a hearing on Initiative Petition 25-17, House 5006, *Initiative Petition for a Law Relative to Limiting State Tax Collection Growth and Returning Surpluses to Taxpayers,* and Initiative Petition 25-18, House 5007, *Initiative Petition for a Law Relative to Reducing the State Personal Income Tax Rate from 5% to 4%,* on March 30, 2026.. The Special Joint Committee on Initiative Petitions held public hearings throughout March 2026 to gather testimony and inform its review. The Committee considered input from subject matter experts, proponents and opponents of the Petitions, as well as members of the public. The full hearing record and supporting documentation is available to the public at malegislature.gov/Events/Hearings/Detail/5631.

On May 4, 2026 a majority of the Special Joint Committee on Initiative Petitions ("the Committee") voted to recommend that the General Court **take no action** on Initiative Petition 25-17, House No. 5006, *Initiative Petition for a Law Relative to Limiting State Tax Collection Growth and Returning Surpluses to Taxpayers* and Initiative Petition 25-18, House No. 5007, *Initiative Petition for a Law Relative to Reducing the State Personal Income Tax Rate from 5% to 4%*.

In reaching this determination, the Committee conducted a comprehensive review of the proposed measure, including a detailed analysis of its language, structure, and intended effect. The Committee evaluated testimony and supporting evidence presented during the public hearing, as well as supportive written submissions from policy and economic experts, advocacy and labor organizations, and members of the public. The review found that together, these Initiative Petitions would significantly weaken the Commonwealth's ability to respond to economic downturns by reducing revenues, limiting reserves, and triggering refunds after recessions, jeopardizing funding for essential services while disproportionately benefiting high-income earners over lower- and middle-income residents.

The two Petitions, if implemented, would reduce or limit the amount of revenue the state government receives in a fiscal year. The Petition reducing the income tax from 5% to 4% would result in a projected loss of over $5.3 billion in state revenues in the first full fiscal year after implementation, according to an analysis by the Massachusetts Taxpayers Foundation. This reduction is equivalent to 406.7% of Fiscal Year (FY) 2026 Unrestricted General Government Aid, which is state aid that goes directly to cities and towns to reduce the amount of local spending funded by property taxes, or 73.1% of FY 2026 Chapter 70 education aid, which is state aid to cities, towns, and regional school districts to cover educational expenses. This reduction would have a drastic impact on state budgeting and the ability to fund the programs and services that the residents of the Commonwealth expect and deserve.

During the hearing, the proponents of the Petition noted projected tax savings under the reduction of the income tax, but these savings are largely gained by taxpayers with over $1 million in taxable income. Those at the threshold of the Fair Share surtax – the amount where an additional 4% in income tax begins to be assessed – would see estimated tax savings of $10,744 per year, while full-time, married workers at $25 an hour would see savings of $381 per year, and a full-time, married couple earning an income of $80,115 would see savings of $713 per year, for example. Further to the benefit of million-dollar plus earners, the reduction in income tax would also reduce the current short-term capital gains tax on investments from 8.5% to 4%. Lower- and middle-income earners without substantial investment income would see a much smaller savings in income taxes compared to million-dollar plus earners.

The Petition related to changing the formula that calculates the Chapter 62F revenue growth limit would tweak a law that has only been triggered twice since the law was

QUESTION 5: Majority Report (continued)

enacted in 1986, once in 1987 and again in 2022. Chapter 62F was established to serve as a check on state spending by ensuring that revenue could not grow excessively. The law requires the Department of Revenue to issue a credit to taxpayers if total tax revenues in a given fiscal year exceed an annual cap tied to wage and salary growth in the Commonwealth. This Petition aims to change the Chapter 62F calculation by including revenues collected through the Fair Share Amendment, which are currently not part of the formula. It would also base the maximum revenue the state could collect on the *actual* amount of revenue collected in the previous year, rather than the current formula which is based on the previous year's *limit*. This would hinder the state's economic resiliency during uncertain times, as a bad economic year would likely result in lower revenues, and a resulting economic bounce back the following year would more likely trigger a tax refund. This would mean that the state would have less of an ability to restore funding to programs that were cut or to replenish the state's stabilization fund ("Rainy Day Fund") that is used to supplement a loss of revenue and keep programs funded during a bad economic outlook.

In combination, these Petitions would severely impact the Commonwealth's ability to withstand fluctuating economic conditions created by periods of recession or high inflation, where expenses grow faster than revenue. In the Great Recession of 2008, Massachusetts turned to the Stabilization Fund to ensure that schools were able to be funded, programs were not drastically slashed across the board, and state employees would receive their paychecks. With the reduction in revenue from reducing the income tax, the state would very likely struggle to maintain a healthy set of reserves in the stabilization fund to get through a recession, and the new calculation of the Chapter 62F revenue limit would likely trigger refunds in the year following a recession. Combined, these Petitions have the potential to bring a devastating impact to funding for our roads, bridges, schools, safety net programs, while bringing minimal savings back to lower- and median-income residents and, instead, funding large tax savings and rebates for million-dollar plus earners.

It is important to note that Article 48 of the Amendments to the Massachusetts Constitution, which governs the initiative petition process, requires the Attorney General to provide initial certification of initiative petitions that meet the specific and limited requirements listed in Article 48. In making a decision on whether to initially certify an initiative petition, the Attorney General does not evaluate a petition's broader constitutionality; her certification decision is limited only to the narrow criteria listed in Article 48. Thus, this Petition has been certified by the Attorney General under Article 48, but it has not been evaluated by her or the courts for its constitutionality at this time.

For these reasons, a majority of the Committee recommends that the General Court **take no action** on Initiative Petition 25-17, House No. 5006, *Initiative Petition for a Law Relative to Limiting State Tax Collection Growth and Returning Surpluses to Taxpayers,* and Initiative Petition 25-18, House 5007, *Initiative Petition for a Law Relative to Reducing the State Personal Income Tax Rate from 5% to 4%*.

Senators.	**Representatives.**
Cindy F. Friedman	Alice Hanlon Peisch
Brendan P. Crighton	Kate Hogan
Paul R. Feeney	Frank A. Moran
Barry R. Finegold	Michael S. Day
	David T. Vieira

QUESTION 5: Minority Report

Laws Relative to Tax Policy

Reducing the income tax would place an average of $1,500 in the pockets of Massachusetts families, providing meaningful financial relief and helping to make the Commonwealth more affordable across essential cost areas, including housing, childcare, electricity, fuel, and healthcare. Massachusetts is amongst the least affordable states to live in with one of the highest rates of net out-migration. Our neighbors, friends, and family are leaving and taking with them the state's economic future. The Commonwealth ranked last in private sector job creation, a bleak illustration of the state's waning economic vitality. Families and individuals of all income brackets are leaving the state in search of a more affordable cost of living because of the state's misaligned priorities, and without a significant change in course, the consequences of these policies will not meet the needs of residents. The Commonwealth turned a blind eye to reforming the state's so-called "Right-to-Shelter Law", which siphoned a multi-billion-dollar hole in the state budget, despite legislative efforts to reign in the law. Further, at its peak, more than $3,300 was spent per week per family, many

QUESTION 5: Minority Report (continued)

of whom were not legally present and could not be legally permitted to contribute to the state's economy by entering the state's workforce. The Commonwealth's clean energy and climate plan adopted in the Global Warming Solutions Act has further exacerbated the affordability crisis. During the hearing for these petitions, some provided testimony suggested that a 1% cut to the state income tax was insignificant for Massachusetts residents. Providing tax relief is not simply a matter of economic policy; it is an acknowledgment of the everyday challenges facing residents and a commitment to making Massachusetts a place where people can afford to live, work, and build their futures. If Massachusetts hopes to remain competitive with neighboring states, it must meaningfully address the financial pressures residents face. Residents of the state need relief from the unaffordable policies that the state legislature and Governor have adopted, driving up the costs of housing and energy. These two initiative petitions provide a practical pathway toward relieving some of this burden by reducing the tax load on individuals and ensuring that the Commonwealth does not collect revenue beyond what is reasonably needed to fund essential services.

For these reasons, the minority of the Committee recommends that the General Court adopt Initiative Petition 25-18, House 5007, *Initiative Petition for a Law Relative to Reducing the State Personal Income Tax Rate from 5% to 4%*, and Initiative Petition 25-17, House 5006, *Initiative Petition for a Law Relative to Limiting State Tax Collection Growth and Returning Surpluses to Taxpayers*.

Senator.

Ryan C. Fattman

QUESTION 6: Majority Report

A majority of the Special Joint Committee on Initiative Petitions

Article 48 of the Amendments to the Constitution of the Commonwealth allows voters to propose laws or constitutional amendments through initiative petitions, commonly called ballot questions. After gathering the required signatures and submitting certified signatures to the Secretary of the Commonwealth, a petition is formally presented to the Legislature for consideration. It is then referred to a committee, in this case, the Special Joint Committee on Initiative Petitions.

Under Article 48, the committee must report to the Legislature on each petition before the first Wednesday in May. Unlike the standard legislative process, the Legislature may only approve or reject an initiative petition as submitted, without making changes.

The Committee held a hearing on Initiative Petition 25-15, House 5005, *Initiative Petition for a Law to Protect Water & Nature*, on March 23, 2026. The Special Joint Committee on Initiative Petitions held public hearings throughout March 2026 to gather testimony and inform its review. The Committee considered input from subject matter experts, proponents and opponents of the Petition, as well as members of the public. The full hearing record and supporting documentation is available to the public at malegislature.gov/Events/Hearings/Detail/5601.

On May 4, 2026, a majority of the Special Joint Committee on Initiative Petitions ("the Committee") voted to recommend that the General Court **take no action** on Initiative Petition 25-15, House 5005, *Initiative Petition for a Law to Protect Water & Nature* ("the Petition").

In reaching this determination, the Committee conducted a comprehensive review of the proposed measure, including a detailed analysis of its language, structure, and intended effect, as well as testimony and documentary evidence presented at the public hearing. The Committee also considered written submissions from environmental policy experts, state agency representatives, municipal officials, conservation advocates, and members of the public. In addition, the Committee evaluated the potential legal, environmental, administrative, and economic implications of the Initiative Petition, including its interaction with existing statutory authorities governing land conservation, water resource management, and capital planning.

A majority of the Committee has raised concerns regarding the structure, scope, and potential impacts of the Petition as drafted. While proponents of the measure assert that it is designed to be financially neutral and does not constitute a tax increase, the Committee notes that the proposal would rely on existing state revenue streams that are currently allocated to other ongoing programs and priorities. As a result, implementation of the measure would require the reallocation or reduction of funds presently directed toward other state initiatives, including investments administered through agencies such as the Department of Conservation and Recreation. This raises questions of opportunity costs and the potential

QUESTION 5: Full Text of Proposed Law

An Act relative to limiting state tax collection growth and returning surpluses to taxpayers.

Be it enacted by the People, and by their authority;

SECTION 1. Section 2 of chapter 62F of the General Laws as appearing in the 2024 Official Edition is hereby amended by replacing the definitions of "Computed Maximum State Tax Revenues" and "State Tax Revenues" with the following —

"Computed Maximum State Tax Revenues" means for any fiscal year beginning after June 30, 2027 an amount determined by multiplying the Net State Tax Revenues, as defined herein, for the immediately preceding fiscal year by the allowable state tax growth factor, as defined herein, for the then current fiscal year.

"State Tax Revenues" means the revenues of the Commonwealth from every tax, surtax, receipt, penalty and other monetary exaction, and interest in connection therewith, including but not limited to, taxes and surtaxes on personal income (including, for purposes of any calculation under this chapter beginning after June 30, 2027, income surtax revenues collected and deposited into the Education and Transportation Fund pursuant to Section 2BBBBBB of chapter 29 of the General Laws), excises and taxes on retail sales and use, meals, motor vehicle fuels, businesses and corporations, public utilities, alcoholic beverages, tobacco, inheritances, estates, deeds, room occupancy and pari-mutuel wagering; but excluding federal reimbursements, proceeds from bond issues, earnings on investments, tuitions, fees, service charges and other departmental revenues, and revenues directly attributable to the additional taxes levied pursuant to section eighty-eight of chapter six hundred and eighty-four of the Acts of nineteen hundred and seventy-five.

SECTION 2. Effective for purposes of any calculation under chapter 62F of the General Laws as appearing in the 2024 Official Edition for any fiscal year beginning after June 30, 2027, Section 2BBBBBB of chapter 29 of the General Laws as appearing in the 2024 Official Edition is hereby amended by striking out subparagraph (d).

SECTION 3. The provisions of this law are severable, and if any clause, sentence, paragraph or section of this chapter, or an application thereof, shall be adjudged by any court of competent jurisdiction to be invalid, such judgment shall not affect, impair, or invalidate the remainder thereof but shall be confined in its operation to the clause, sentence, paragraph, section, or application adjudged invalid.

QUESTION 6: Full Text of Proposed Law

An Act to protect water and nature.

Be it enacted by the People, and by their authority;

SECTION 1. Chapter 29 of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by adding the following section:

Section 2EEEEEE. (a) There shall be established and set up on the books of the commonwealth a separate fund to be known as the nature for all fund. There shall be credited to the fund an amount equivalent to 50% of all monies received by the commonwealth from the receipts from taxes on sales and use of sporting goods, recreational vehicles, and golf courses as classified under the 2022 revision of the North American Industry Classification Codes under chapter 64H and 64I. The amount credited to the fund under this subsection shall be net of the dedicated sales tax revenue amount transferred under sections 35T and 35BB of chapter 10. The fund may accept public and private gifts, grants and donations to further the purposes of this section, and any other monies credited to or transferred from any other source pursuant to state law. The fund shall not be subject to section 5C of this chapter.

(b) For the purposes of this section, the phrase "natural resource conservation" shall mean: (i) the conservation or restoration of land to protect drinking water and the quality of streams, rivers, lakes and coasts; (ii) the conservation or restoration of farms, forests, and other land to advance statewide goals and plans in the areas of biodiversity, climate, natural and working lands, resiliency, and environmental justice; (iii) the creation and improvement of parks, greenspaces, trails, and outdoor recreation access, especially in neighborhoods with limited access to such resources; (iv) the conservation of land parcels to provide connectivity between open spaces; (v) the conservation and restoration of lands and natural resources of indigenous cultural significance; and (vi) the provision of ongoing stewardship, outdoor recreation access, and management of such resources.

(c) The executive office of energy and environmental affairs shall make expenditures from the nature for all fund for the purposes of natural resource conservation.